1. Every time you buy shares in a mutual fund, the fund house charges entry fees, which can be high in some cases. This fee essentially is for the portfolio manager and his team to manage the fund.
2. Funds also incur operating costs to keep the fund running.

All fees incurred are mentioned in the prospectus of the mutual fund and should be considered while selecting which mutual fund to invest in, from the thousands of choices you have today.

Some of the mutual funds that I am invested in are HDFC Equity Fund (Growth), ICICI Prudential Top 100 Fund, ICICI Prudential Value Discovery Fund and UTI Pharma and Healthcare Fund

All mutual fund transactions whether buying more funds, selling funds, or generating your transaction statements for any given period can be done online and do not require you to run around filling forms and making physical deposits.

There are 3 money management techniques that we all must understand when dealing with Mutual Funds:

1. **Systematic Investment Plans Or SIPs**

   SIP is a very convenient and one of the most commonly used method for most investors to enter the equity market via Mutual Funds. A fixed sum of money is invested on a fixed date irrespective of the market conditions.

   Advantages of SIP route

   - It inculcates regular investment discipline since the money is automatically deducted on a fixed date from the bank account.
   - Investment via SIPs leads to risk aversion because of rupee cost averaging since the users cannot try and time the market.
   - SIPs buy you more Mutual Fund units during dips and less during peaks – a perfect strategy to average out the costs.